THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

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CLASS 9 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 2

Chapter 1: **The Problem of Choice (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A town has Rs 10 crore. Option 1: bridge (benefit 4 units). Option 2: school (benefit 6 units). It picks the school. Opportunity cost is 1

(a) the bridge's benefit of 4 units **(b)** nothing
(c) 10 crore **(d)** 6 units

2. Assertion (A): The government has no role in a market economy. Reason (R): Prices are set by demand and supply. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

3. Which pair BEST shows opportunity cost for a government? 1

(a) Budget presented - survey read **(b)** Hospital built - school not built
(c) Loan taken - loan repaid **(d)** Tax collected - tax paid

4. If the cost of machines falls sharply, which sector shift is most likely? 1

(a) Closure of all factories **(b)** More capital-intensive production
(c) No change **(d)** More labour-intensive production

5. Which of these decisions MOST clearly involves 'for whom to produce'? 1

(a) Choosing the colour of a factory
(b) Buying a new truck
(c) Selecting a machine brand
(d) Making affordable low-fat milk packs for low-income families

6. A country has a strong private sector, strict consumer laws and subsidised healthcare. It is 1

(a) a pure market economy **(b)** a planned economy
(c) a mixed economy **(d)** a barter economy

7. Assertion (A): Wants are limited. Reason (R): Resources have many alternative uses. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

8. A farmer's PPC has a point outside the curve. This represents 1

(a) waste
(b) an efficient output
(c) a price
(d) an output not possible with current resources

9. Which statement is most accurate? 1

(a) Opportunity cost applies only to firms
(b) Rich people face no opportunity cost
(c) Opportunity cost is always monetary
(d) Opportunity cost exists for every choice made under scarcity

10. A market economy produces mostly goods which are profitable. Hence it may under-provide 1

(a) gadgets **(b)** luxury goods **(c)** branded shoes **(d)** public goods

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. State two reasons why government-provided public goods are important in a market economy. 2

12. Name two limitations of using only market forces to decide production. 2

13. Why is a mixed economy sometimes criticised? 2

14. How does increased competition affect the price and quality of a product? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Analyse the trade-off between short-term profit and sustainability using sugarcane and millets. 3

16. A factory has the choice of making 100 cheap toys or 20 expensive toys. State the opportunity cost of one expensive toy and decide for whom each is suited. 3

17. 'India is a mixed economy even though it follows market reforms.' Explain. 3

OR

A government abolishes licences for an industry. Explain two likely effects. 3

18. A hotel owner automates check-in. Discuss the factors which could have led to this. 3

OR

Why are the economic choices of a nation more complex than those of a household? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. 'Economic decisions today shape the future.' Discuss with reference to scarcity, sustainability and the Indian experience. 5

OR

A country must choose between putting scarce funds in highways and in hospitals. Analyse the choice using opportunity cost, data and long-term effects. 5

20. Compare the three economic systems and evaluate which suits a diverse developing country. 5

OR

Evaluate the claim 'Markets alone can solve the problem of choice'. 5

END OF QUESTION PAPER — Total: 40 Marks